Consolidated Balance Sheets

In thousands of Canadian dollars	As at March 31, 2008	As at March 31, 2007	As at December 31, 2007
	(Unaudited)	*(Unaudited)*	
ASSETS			
Current assets			
Cash and cash equivalents	**$ —**	$ 9,945	$ 2,847
Accounts receivable (Note 3)	**80,649**	56,041	68,464
Inventories (Note 4)	**55,753**	48,536	47,036
Future tax asset – current	**19,059**	5,349	5,937
Prepaid expenses	**5,364**	5,549	4,798
Other current assets (Note 5)	**—**	60,944	80,586
	$ 160,825	$ 186,364	$ 209,668
Property and equipment	**411,323**	376,998	396,623
Goodwill	**402,806**	374,112	371,066
Other intangibles	**13,787**	5,132	12,870
Future tax asset – non-current	**—**	402	—
Other long-term assets	**9,503**	1,941	7,955
	$ 998,244	$ 944,949	$ 998,182
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 10,457**	$ 11,349	$ 9,845
Accounts payable and accrued charges	**177,346**	164,194	177,695
Due to Maple Leaf Foods Inc.	**5,226**	9,453	5,408
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**23,102**	18,361	15,078
Current portion of long-term debt	**76,900**	180	107,644
	$ 294,556	$ 205,062	$ 317,195
Long-term debt	**—**	96,113	5
Future tax liability – non-current	**34,105**	29,878	33,522
Other long-term liabilities	**13,825**	10,123	12,417
Shareholders' equity (Note 7)	**655,758**	603,773	635,043
	$ 998,244	$ 944,949	$ 998,182

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Earnings

In thousands of Canadian dollars, except share amounts *(Unaudited)*	Three months ended March 31, 2008	2007
Sales	**$ 382,869**	$ 358,337
Cost of goods sold	**317,671**	283,807
Gross margin	**$ 65,198**	$ 74,530
Selling, general and administrative expenses	**45,654**	44,569
Earnings from operations before restructuring and other related costs	**$ 19,544**	$ 29,961
Restructuring and other related costs (Note 9)	**(1,273)**	(2,192)
Earnings from operations	**$ 18,271**	$ 27,769
Other income	**34**	502
Earnings before interest and income taxes	**$ 18,305**	$ 28,271
Interest expense	**1,758**	1,255
Earnings before income taxes	**$ 16,547**	$ 27,016
Income taxes	**4,336**	9,106
Net earnings	**$ 12,211**	$ 17,910
Earnings per share – basic	**$ 0.48**	$ 0.70
Earnings per share – diluted	**$ 0.48**	$ 0.70
Weighted average number of shares (millions)	**25.4**	25.4

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Comprehensive Income

In thousands of Canadian dollars *(Unaudited)*	Three months ended March 31, **2008**	2007
Net earnings	**$ 12,211**	$ 17,910
Other comprehensive income (loss) (Note 8)	**10,029**	(894)
Comprehensive income	**$ 22,240**	$ 17,016

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Retained Earnings

In thousands of Canadian dollars, except share amounts *(Unaudited)*	Three months ended March 31, **2008**	2007
Retained earnings, beginning of period	**$ 528,327**	$ 450,733
Net earnings	**12,211**	17,910
Dividends declared ($0.06 per share; 2007: $0.06 per share)	**(1,525)**	(1,525)
Retained earnings, end of period	**$ 539,013**	$ 467,118

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Cash Flows

In thousands of Canadian dollars *(Unaudited)*	Three months ended March 31, **2008**	2007
CASH PROVIDED BY (USED IN):		
Operating activities		
Net earnings	**$ 12,211**	$ 17,910
Add (deduct) items not affecting cash:		
Depreciation and amortization	**12,819**	12,284
Future income taxes	**927**	970
Gain on sale of property and equipment	**(15)**	(490)
Changes in restructuring and other related costs	**742**	1,988
Other	**1,512**	244
Change in operating working capital	**(27,620)**	(12,958)
	$ 576	$ 19,948
Financing activities		
Dividends paid	**(1,525)**	(1,525)
Net increase (decrease) in long-term debt	**(30,748)**	9,458
Settlement of cross-currency interest rate swap with Maple Leaf	**80,586**	—
	$ 48,313	$ 7,933
Investing activities		
Additions to property and equipment	**(8,628)**	(11,667)
Proceeds from sale of property and equipment	**15**	600
Purchase of net assets of business, net of cash acquired (Note 11)	**(43,536)**	(7,989)
Change in intangible assets	**(199)**	31
	$ (52,348)	$ (19,025)
Increase (decrease) in cash and cash equivalents	**(3,459)**	8,856
Bank indebtedness, beginning of period	**(6,998)**	(10,260)
Bank indebtedness, end of period	**$ (10,457)**	$ (1,404)

The accompanying notes to the consolidated financial statements are an integral part of these statements.

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 88.0% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2007. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2007, except for the following:

Accounting changes

(i) In May 2007, the Accounting Standards Board issued CICA Handbook Section 3031, "Inventories". The standard introduces changes to the measurement and disclosure of inventory and is consistent with international financial reporting standards. The Company adopted the measurement provisions of the standard effective January 1, 2008. The adoption of the standard did not have a material impact on the results of operations or measurement of inventory.

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(ii) In 2006, the Accounting Standards Board issued CICA Handbook Section 3862, "Financial Instruments – Disclosure" and Section 3863, "Financial Instruments – Presentation" which replaces Section 3861, "Financial Instruments – Disclosure and Presentation". The new disclosure standards require increased disclosure of risks associated with recognized and unrecognized financial instruments and how those risks are managed. The standards carry forward the former presentation requirements of Section 3861. The Company has complied with the new disclosure requirements beginning in 2008 and the new disclosure requirements are presented in Note 6.

(iii) In October 2006, the Accounting Standards Board issued CICA Handbook Section 1535, "Capital Disclosures", which establishes standards for disclosing information about an entity's capital and how it is managed. The Company has complied with the new disclosure requirements beginning in 2008 and the new disclosure requirements are presented in Note 6.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and limited recourse obligations for delinquent receivables. At March 31, 2008, trade accounts receivable being serviced under this program amounted to $70.0 million (2007: $70.0 million).

4. Inventory

	As at March 31,	
	2008	2007
Raw materials	**$ 12,734**	$ 10,844
Finished goods	**21,890**	18,450
Packaging	**8,697**	7,493
Spare parts	**12,432**	11,749
	$ 55,753	$ 48,536

5. Other Current Assets

On January 2, 2008, the Company's five-year cross-currency interest rate swap with Maple Leaf Foods matured and was settled for $80.6 million resulting in a decrease in other current assets and long-term debt.

6. Financial Instruments and Risk Management Activities

CAPITAL

The Company's objective is to maintain a simple and cost-effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. The Company has established clearly defined financial objectives including targets for return on net assets (11.5%) and compound annual earnings per share growth (15%). In allocating capital to investments to support these goals, the Company establishes internal hurdle return rates for all capital and acquisition initiatives. Projects are generally financed with senior debt, provided the Company's internal debt management guidelines are met.

The Company uses leverage in its capital structure to reduce the cost of capital. The Company maintains its primary credit ratios and leverage at levels that provide continued access to investment grade credit pricing and terms. The Company measures its credit profile using a number of metrics, primarily net debt to earnings before interest, taxes, depreciation and restructuring and other related costs and earnings before interest, taxes, depreciation and restructuring and other related costs to interest expense. The Company's primary credit facility, which is unsecured, is subject to certain financial covenants. As at March 31, 2008, the Company was in compliance with all of these covenants.

In addition to senior debt and equity, the Company may use operating leases and limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a stable dividend distribution based on sustainable net earnings.

In the period ended March 31, 2008, total equity increased by $20.7 million. During the same period, total debt net of cash decreased by $27.3 million to $87.4 million.

FINANCIAL INSTRUMENTS

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Designated as held for trading
Accounts receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments (i)	

(i) *The Company has derivative instruments, from time to time, that are classified as held for trading and designated as cash flow hedges.*

Carrying amounts for assets and liabilities classified as held for trading, loans and receivables, other financial liabilities (excluding long-term debt) and all derivative financial instruments approximate their carrying value as such instruments are carried at fair value due to their short-term nature. The book value of long-term debt as at March 31, 2008 is $87.1 million which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures and options contracts are exchange-traded and fair value was determined based on exchange prices.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other accounts receivables in order to mitigate any possible credit losses.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The six largest customers comprise approximately 60% of consolidated accounts receivable at March 31, 2008 whereas the two largest customers comprise approximately 26.0% of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The contractual undiscounted principal cash flows payable in respect of financial liabilities and derivative assets and liabilities as at the balance sheet date are as follows:

	As at March 31, 2008				
	Due within 1 year	Due between 1 and 2 years	Due between 2 and 3 years	Due after 3 years	Total
Derivative financial liabilities					
Futures and options contracts	$ 7,468	$ —	$ —	$ —	$ 7,468
Non-derivative financial liabilities					
Bank indebtedness	10,457	—	—	—	10,457
Accounts payable and accrued charges	177,346	—	—	—	177,346
Total	$ 195,271	$ —	$ —	$ —	$ 195,271

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities, managing the maturity profiles of financial assets and financial liabilities to minimize re-financing risk.

MARKET RISK

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from long-term borrowings issued at fixed rates that create fair value interest rate risk and variable rate borrowings that create cash flow interest rate risk. The Company has no significant interest bearing assets.

At March 31, 2008, the Company had variable rate debt of $87.1 million with a weighted average interest rate of 4.7%. In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at March 31, 2008, the amount sold pursuant to these programs was $70.0 million at a weighted average interest rate of 4.1%. It is estimated that, all else constant, a one percentage point change in interest rates would not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

The Company uses interest swaps to mitigate the risk from variable cash flows by effectively converting certain variable rate borrowings to fixed-rate borrowings. The notional amounts of these swaps, which are designated and accounted for as cash flow hedges, totalled $70.0 million at March 31, 2008 (2007: $70.0 million) with maturity dates ranging from June 2011 to June 2014. The fixed rates payable by the Company under these contracts range from 5.0% to 5.4%. The floating rates are based on three-month bankers' acceptance rates. These swaps had a negative fair value of $5.1 million at March 31, 2008 (2007: negative fair value of $3.3 million) of which $1.3 million is recorded in accounts payable and accrued charges and $3.8 million in other long-term liabilities at March 31, 2008.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. The primary currency to which the Company is exposed is the U.S. dollar. Qualifying foreign currency forward contracts are accounted for as cash flow hedges. As at March 31, 2008, $5.5 million of anticipated foreign currency-denominated sales have been hedged with the underlying foreign exchange forward contracts settling at various dates from May 2008 to June 2008. The aggregate fair value of these forward contracts was $0.1 million at March 31, 2008 and is recorded in accounts payable and accrued charges.

With respect to interest rate, foreign currency and commodity price market risk, sensitivity analyses discussing the effects of reasonably possible changes in relevant risk variables on net earnings and other comprehensive income on an after-tax basis are disclosed below. The periodic effects are determined by relating the reasonably possible changes in the risk variables to the balance of financial instruments at the reporting date.

It is estimated that, all else constant, a hypothetical 10% change in the value of the Canadian dollar against all relevant currencies would result in a change in the fair value of the Company's foreign exchange forward contracts of $3.0 million, a change in net earnings after-tax of $2.1 million and no change to other comprehensive income.

Commodity Price Risk

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

The Company applies the normal purchase and sales classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

The fair values and notional amounts of derivative financial instruments by designated hedge type are shown below:

	2008			2007		
	Notional	**Fair Value**		Notional	Fair Value	
	Amount	**Asset**	**Liability**	Amount	Asset	Liability
Cash flow hedges						
Interest rate swaps	**$70,000**	**$ —**	**$ 5,060**	$70,000	$ —	$ 3,293
Foreign exchange forward contracts	**US$5,500**	**—**	**81**	US$23,000	519	—
Total		**$ —**	**$ 5,141**		$ 519	$ 3,293
Current		**$ —**	**$ 1,337**		$ 519	$ —
Non-current		**—**	**3,804**		—	3,293
Total		**$ —**	**$ 5,141**		$ 519	$ 3,293

For the quarters ended March 31, 2008 and 2007, the amount of hedge ineffectiveness recognized in earnings was not material.

7. Shareholders' Equity

Shareholders' equity consists of the following:

	As at March 31,	
	2008	2007
Share capital (2008 and 2007: 25,416,812 common shares)	**$ 142,965**	$ 142,965
Retained earnings	**539,013**	467,118
Accumulated other comprehensive loss (Note 8)	**(26,220)**	(6,310)
	$ 655,758	$ 603,773

The authorized share capital of the Company consists of an unlimited number of common shares and 25,000 preference shares, issuable in series. As at March 31, 2008 there were no issued and outstanding preference shares.

8. Accumulated Other Comprehensive Loss

Accumulated other comprehensive loss consists of the following:

	Three months ended March 31,	
	2008	2007
Balance at the beginning of the period	**$ (36,249)**	$ (5,254)
Transition adjustment as of January 1, 2007	**—**	(162)
Adjusted balance at the beginning of the period	**$ (36,249)**	$ (5,416)
Change in accumulated foreign currency translation adjustment [(i)]	**11,698**	(715)
Change in unrealized derivative gain on cash flow hedges – net [(ii)]	**(1,669)**	(179)
Other comprehensive income (loss) for the period	**$ 10,029**	$ (894)
Accumulated other comprehensive loss as at March 31	**$ (26,220)**	$ (6,310)

(i) *Change in accumulated foreign currency translation adjustment is net of taxes of $nil for the three months ended March 31, 2008 (2007: $nil).*

(ii) *Change in unrealized derivative loss on cash flow hedges is net of tax of $0.9 million for the three months ended March 31, 2008 (2007: $0.1 million).*

The Company estimates that $0.9 million of net derivative losses included in accumulated other comprehensive loss will be reclassified into net earnings within the next twelve months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the quarter, a loss of approximately $0.1 million (net of tax of $0.1 million) was credited to income from accumulated other comprehensive loss and is included in the net change for the period.

9. Restructuring and Other Related Costs

During the first quarter of 2008, the Company recorded restructuring and other related costs of $1.3 million ($0.9 million after-tax), the majority of which are related to the closure of a bagel facility in Toronto, Ontario. The following table provides a summary of the costs recognized and cash payments made in respect of these restructuring and other related initiatives in 2008 as well as the related liability:

	Severance	Site Closing	Accelerated Depreciation	Retention	Total
Balance at December 31, 2007	$ 2,822	$ 809	$ —	$ 55	$ 3,686
Charges during first quarter	$ 322	$ 166	$ 785	$ —	$ 1,273
Cash payments	—	(531)	—	—	(531)
Non-cash items	—	—	(785)	—	(785)
Balance at March 31, 2008	**$ 3,144**	**$ 444**	**$ —**	**$ 55**	**$ 3,643**

10. Pensions

During the quarter, the Company recorded $2.5 million related to net benefit plan expense (2007: $2.5 million).

11. Acquisitions

On January 29, 2008, the Company acquired the shares of Aliments Martel Inc. ("Martel"), a leading manufacturer and distributor of sandwiches, meals and sweet goods based in Quebec, for an initial purchase price of $43.4 million plus contingent consideration of up to $22.6 million based on financial performance for the three years following the acquisition date. The Company has allocated $18.3 million to the net identifiable assets of Martel at the acquisition date and $25.1 million to goodwill. The Company has not yet finalized the purchase equation for this acquisition.

On February 26, 2007, the Company acquired 100% ownership in Pâtisserie Chevalier Inc. ("Chevalier") for $8.4 million. Chevalier is a producer of single-portion snack cake products in Quebec. The Company has finalized the purchase equation allocating $6.5 million of the purchase price to the identifiable net tangible assets of Chevalier at the acquisition date, $0.6 million to intangible assets and $1.3 million to goodwill.

12. Supplemental Cash Flow Information

	Three months ended March 31,	
	2008	2007
Interest paid	**$ 1,677**	$ 1,434
Net income taxes paid	**9,397**	13,088

13. Segmented Financial Information

The Company's operations are classified into two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

	Three months ended March 31,	
(Unaudited)	**2008**	2007
Sales		
Fresh Bakery	**$ 237,224**	$ 219,186
Frozen Bakery	**145,645**	139,151
	$ 382,869	$ 358,337
Earnings from operations before restructuring and other related costs		
Fresh Bakery	**$ 12,689**	$ 22,001
Frozen Bakery	**6,855**	7,960
	$ 19,544	$ 29,961
Additions to property and equipment		
Fresh Bakery	**$ 1,568**	$ 7,002
Frozen Bakery	**7,060**	4,665
	$ 8,628	$ 11,667
Depreciation and amortization		
Fresh Bakery	**$ 6,380**	$ 6,202
Frozen Bakery	**6,439**	6,082
	$ 12,819	$ 12,284

	As at March 31,		As at December 31,
	2008	2007	2007
	(Unaudited)	*(Unaudited)*	
Total assets			
Fresh Bakery	**$ 428,432**	$ 385,157	$ 400,518
Frozen Bakery	**521,649**	525,974	573,772
Non-allocated assets	**48,163**	33,818	23,892
	$ 998,244	$ 944,949	$ 998,182
Goodwill			
Fresh Bakery	**$ 156,056**	$ 132,317	$ 131,256
Frozen Bakery	**246,750**	241,795	239,810
	$ 402,806	$ 374,112	$ 371,066